

CURRENT PRICE	12-MO TARGET (PROB-WTD)	IMPLIED RETURN	NAV / SHARE (BASE)	DIVIDEND YIELD
\$145.00	\$117	-19%	\$124	3.0%

INVESTMENT THESIS

- + **Premium global logistics franchise.** ~95% occupancy with embedded below-market rents drives base same-store NOI growth toward ~5%/yr from escalators plus mark-to-market on rollover. PLD is the sector bellwether and the scaled owner of irreplaceable infill logistics.
- + **Multiple growth engines beyond core rent.** A development pipeline (logistics + data centers) creates value at cost-plus-margin, while the strategic-capital platform compounds fee income toward ~\$87B of third-party AUM by FY2030.
- + **Fortress balance sheet.** Net debt/EBITDA ~5.0x under a disciplined leverage policy funds the pipeline while preserving capacity and a covered, growing dividend.

KEY VALUATION DRIVERS

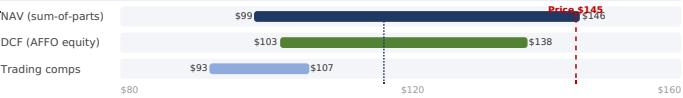
- ▶ **Cap rate & discount rate.** The dominant lever — ~\$6–7/share per 25 bps on both the NAV cap rate (5.0% base) and DCF WACC (7.5% base).
- ▶ **Stabilized NOI growth.** Same-store rent growth, occupancy and MTM realization set the cash-flow base shared across all four methods.
- ▶ **Development margins & strategic-capital value.** Logistics/data-center value-creation margins and the FRE platform multiple drive the premium above the standing portfolio.

RISKS

- **Valuation premium / downside.** Trades ~+17% above NAV base (25.1x P/Core FFO vs ~18.5x peer median) — priced toward the bull case and exposed to multiple compression if growth slows.
- **Development & capital intensity.** Heavy starts require external funding (ATM equity + debt); value-creation margins compress sharply in the bear case (logistics 5%, DC 10%).
- **Macro / rate sensitivity.** Cap & discount rates are the key levers; the bear case (5.8% cap, 8.5% WACC, falling rents) implies ~30–40% downside to blended value.

VALUATION SUMMARY (\$/share)

METHODOLOGY	LOW	BASE	HIGH
NAV (sum-of-parts)	\$99	\$124	\$146
DCF (AFFO equity)	–	\$124	–
Trading comps	\$93	\$100	\$107
Football Field (blended)	\$93	\$114	\$146
Current price	\$145		



SCENARIO ANALYSIS

CASE	BLENDED VAL	PROB.	WTD.
Bear	\$88	25%	\$22
Base	\$116	50%	\$58
Bull	\$150	25%	\$37
Prob-weighted target		100%	\$117

FY2030E (Base): Revenue \$13.5B · NOI \$10.2B · Core FFO/sh \$8.40 (\$10.80 bull / \$6.67 bear) · AFFO/sh \$6.55 · Net debt/EBITDA 5.0x. NAV-weighted target \$123 (cross-check).

FINAL RECOMMENDATION — HOLD / NEUTRAL

Three independent methods triangulate intrinsic value near **\$124** (NAV base ≈ DCF base), with a blended Football Field midpoint of **\$114** and a probability-weighted target of **\$117** — roughly **19% below** the current \$145. PLD's scale, global platform, strategic-capital franchise and development / data-center optionality justify a premium that asset-, cash-flow- and peer-multiple methods only partly capture. At today's price the market is effectively **pricing the bull case** — only under bull does NAV (~\$146) reach the share price, while base and bear sit ~15% and ~40% lower. We rate PLD **HOLD**: a best-in-class compounder we would own through the cycle, but at a full valuation offering an unattractive near-term risk/reward. Catalysts to revisit: a cap-rate/rate reset, accelerating data-center economics, or a pullback toward NAV.